HSC ECONOMICS · NEWS SUMMARY · STORY 1

STUDENT HANDOUT

China's growth beats forecasts, but investment slump deepens

Reuters / SCMP / ABC News, 19 October 2026 · Topic 1: The Global Economy · prepared 20 October 2026

4.5%
China's GDP growth, year to Sept quarter (forecast 4.4%; June qtr 4.3%) [1]

1.1%
retail sales growth, Sept, year on year: weak household demand [1]

−20.6%
property investment, Jan–Sept, year on year [1]

US$91/t
iron ore price on Friday, up 1.5% [3]

China's economy grew 4.5% over the year to the September quarter, slightly faster than forecast and up from 4.3% in the June quarter, which had been the slowest pace since late 2022 [1][2]. Factories, high-tech exports and electric vehicles carried the result, but households are spending little and investment, especially in property, is still shrinking [1][3]. For Australia, the mix matters as much as the headline: construction and property drive demand for our iron ore.

KEY FACTS

- GDP grew 1.2% in the quarter, faster than the 0.9% in the June quarter. Growth for the first three quarters averaged 4.6%, inside Beijing's 2026 target of 4.5% to 5%, which is lower than the 'around 5%' goal of earlier years [1][2].
- Industrial output rose 5.5% over the year to September. Retail sales rose only 1.1%, although that beat the 0.6% forecast [1].
- Fixed-asset investment fell 7.2% in January to September. Property investment fell 20.6% and infrastructure investment fell 4.2% [1][3].
- Consumer prices rose just 0.9% over the year, another sign of weak household demand [7].
- Exports of new energy vehicles rose 157% to about 600,000 in September. The EU plans to cap Chinese hybrid imports at 350,000 a year from 2027 [4].
- Policy support so far is mainly fiscal: 550 billion yuan of unused local-government debt quotas released and an 800 billion yuan financing tool [3]. China's central bank has not cut its policy rate since May 2025 [1].
- ANZ warned of an 'investment cliff' and a possible Japan-style balance-sheet recession, where firms and households focus on paying down debt rather than spending [3].
- The Australian dollar rose on the day and iron ore held near US$91 a tonne. China is Australia's largest trading partner, so its data moves the AUD [3][5].

SYLLABUS LINKS

Topic 1 Economic growth and development in other economies: China as a case study of growth, structural change and imbalances (strong exports, weak consumption).

Topic 1 Globalisation and trade: China's export surge, and protectionist responses such as the EU's cap on hybrid vehicles.

Topic 2 Australia's trade and the terms of trade: Chinese construction demand, iron ore prices and the exchange rate.

Topic 3 External stability: how a slowdown in a major trading partner affects Australia's export income and growth.

KEY TERMS

GDP growth (year on year): the percentage change in real output compared with the same quarter a year earlier.

Balance-sheet recession: a downturn in which firms and households cut spending to repay debt, even when interest rates are low.

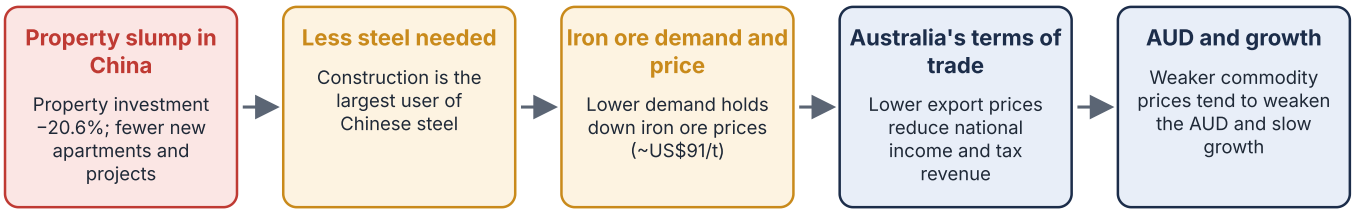
Fixed-asset investment: spending on buildings, infrastructure and equipment; a key driver of China's demand for steel.

Terms of trade: the ratio of export prices to import prices; it rises when prices for Australia's commodities rise.

Fiscal stimulus: government spending or borrowing used to lift aggregate demand.

Protectionism: policies such as tariffs or quotas that restrict imports to protect domestic industry.

HOW CHINA'S SLOWDOWN REACHES AUSTRALIA



Simplified transmission chain. Stronger Chinese exports and fiscal stimulus can partly offset this, and the size of each effect is debated by economists.

COMPETING PERSPECTIVES

Glass half full: China is resilient

- Growth beat forecasts and is on track for the 4.5–5% target [1][2].
- Retail sales beat expectations and high-tech exports are booming [1].
- The IMF forecasts 4.5% growth for China in 2026, in line with the target [6].
- Fiscal stimulus is being rolled out, so authorities have room to support demand [3].

Glass half empty: imbalances are growing

- Investment is falling and property shows 'no floor', according to analysts [1].
- Very low consumer inflation (0.9%) points to weak household demand [7].
- Reliance on exports invites protectionism, such as the EU's hybrid cap [4].
- ANZ warns of an investment cliff and a Japan-style balance-sheet recession [3].

EVIDENCE FOR EXTENDED RESPONSE

Sample question: Analyse the impact of changes in the global economy on Australia's external stability.

- Use China's 20.6% fall in property investment to explain weaker demand for Australian iron ore [1].
- Link to the terms of trade, export income, the current account and the AUD [3][5].
- Balance it: export strength and stimulus kept China's growth at 4.5%, cushioning Australia [1][3].
- Add a protectionism angle: the EU's cap on Chinese hybrids shows rising trade tensions [4].

SHORT-ANSWER QUESTIONS 15 marks

1. Outline what is meant by a 'balance-sheet recession'. **2 marks**

2. Using data from the article, explain why China's 4.5% growth figure may overstate the strength of its economy. **3 marks**

3. Explain how a slowdown in Chinese property construction could affect Australia's terms of trade and exchange rate. **4 marks**

4. Assess the extent to which Australia's economy depends on China's economic performance. **6 marks**

SOURCES

1. Reuters via Investing.com, *China's economic growth accelerates to 4.5% in third quarter*, 19 Oct 2026. https://www.investing.com/news/economy-news/chinas-economic-growth-accelerates-to-45-in-third-quarter-4956227
2. South China Morning Post, *China's economy grows 4.5% in third quarter, staying on track for annual target*, 19 Oct 2026. https://www.scmp.com/economy/economic-indicators/article/3371335/chinas-economy-grows-45-third-quarter-staying-track-annual-target
3. ABC News, *ASX markets and business live blog*, 19 Oct 2026. https://www.abc.net.au/news/2026-10-19/asx-markets-business-live-news/107280976
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5. FXStreet, *Australian Dollar holds gains above 0.6950 as Fed hike bets fade*, 19 Oct 2026. https://www.fxstreet.com/news/australian-dollar-holds-gains-above-06950-as-fed-hike-bets-fade-chinese-data-loom-202610190033
6. Fortune, *IMF raises 2026 global growth forecast to 3.1%*, 13 Oct 2026. https://fortune.com/2026/10/13/imf-global-growth-forecast-2026-ai-economic-divide/
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Note: SMH and AFR coverage could not be retrieved for this story; facts are drawn from the sources listed. Chinese official statistics are sometimes questioned by analysts, so treat the GDP figure as an official estimate.